

BUSINESS PLAN

BUSINESS NAME:

OCHIENG'S ELECTRICAL AND ELECTRONICS SHOP



BUSINESS ADDRESS:

P.O BOX 8021-40100, KISUMU

PRESENTED BY:

OCHIENG ERICK ODHIAMBO

CENTER CODE:

741105

INDEX NUMBER:

7411050082

SUBMITTED TO:

**THE KENYAN NATIONAL EXAMINATION COUNCIL IN
PARTIAL FULFILMENT FOR THE AWARD IN DIPLOMA IN
ELECTRICAL AND ELECTRONICS ENGINEERING**

INSTITUTION:

THE KISUMU NATIONAL POLYTECHNIC

EXAM SERIES:

JULY 2026

DECLARATION

I Ochieng Erick Odhiambo declare that this is my original work of my knowledge and had never been submitted to any other examination council before no part of this business plan should be produced without my consent or that of Kenya Examination council.

OCHIENG ERICK ODHIAMBO ADM. No.: TKNP/B/7192

SIGNATURE :

DATE :

DECLARATION BY THE SUPERVISOR

SIGNATURE.....

DATE:.....

DEDICATION

To God Almighty, I dedicate this entire business plan. To my mother Miss. Lilian Ochieng, my siblings and friends. I dedicate this business plan for their tireless support, thanks for your support both financially and morally both of you stood by me to ensure that I get every support I needed. I also dedicate this business plan to all my friends especially my dear friend Brian Onyango who was constant source of encouragement during the study period.

I can't forget the whole teaching fraternity of The Kisumu National Polytechnic who played a great advisory role to me. All in all, I thank the Almighty God for his sufficient grace and favors He has done to me and all through my academic life.

ACKNOWLEDGEMENT

This business plan was successful due to cooperation and support of number of people who have enabled me gain much more.

I would like to extend my heartfelt gratitude to my family members especially my father for his support both financially and advice wise.

Above all, I thank the lord God almighty for the divine protection, guidance and the opportunity of a memorable and fruitful period.

EXECUTIVE SUMMARY

BUSINESS DESCRIPTION

OCHIENG'S ELECTRICAL ILLUMINATION AND SHOP will be the name used to distinguish the business from others that can be operating in the same locality. The business is located in Kisumu Town along Oginga Odinga Street. I choose the place because it has efficient communication network, availability of resources and good security.

The business will operate under the following address: -

**OCHIENG'S ELECTRICAL ILLUMINATION AND SHOP P. O BOX 8021-40100
KISUMU**

Mobile: 0746568500 Email: oericko591@gmail.com Motto: To be the leading

The business will be under my supervision as the owner and will provide services of supplying, distributing, maintain and installing of electrical accessories.

MARKETING PLAN

The enterprise will include residents of the Kisumu Town. I choose the place because it has efficient communication network, availability of resources and good security.

The business will also be connected with organizations such as hospitals, schools and homes where electrical items are required.

The business will use tactics such as promotional advertising.

ORGANIZATION PLAN

The business will be operating under priorities where I will be the business manager, finance controller as well as monitor daily operations.

FINANCIAL PLAN

The business intends to start up with a capital base. This will be used for purchase of the necessary commodities required for business growth. At the end of every Proforma Income Statement a balance sheet will be prepared at the end of every month.

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CHAPTER ONE

1.0 BUSINESS DESCRIPTION

1.1 BACKGROUND OF THE OWNER

The name of the owner of the business will be **OCHIENG ERICK ODHIAMBO** aged 24 years old and still single. Am from Kisumu County in Kisumu West constituency. A student pursuing Diploma in Electrical and Electronics Engineering (Power Option) at the institution of The Kisumu National Polytechnic, Diploma Two. Have decided to start this Electrical illumination and shop because am well familiar with electronics equipment's and also, I can do some of electrical services and maintenance e.g. fridges.

1.2 BUSINESS NAME

OCHIENG'S ELECTRICAL ILLUMINATION AND SHOP will be the proposed name for the

business. The two words Electrical and illumination summarizes the business goals. Illumination means enlightens which business intends to do like decision making problems solving caused electricity and also selling of electrical gadgets.

1.3 BUSINESS LOCATION AND ADDRESS

The business is located in Kisumu Town along Oginga Odinga Street. I choose the place because it has efficient communication network, availability of resources and good security.

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KISUMU**

Mobile: 0746568500 Email: oericko591@gmail.com Motto: To be the leading

1.4 FORM OF OWNERSHIP

The business will be a sole proprietorship owned by an individual; who will be dealing with electrical gadgets. They will include electrical tools, electrical equipment's. It will also deal with electrical maintenance and electrical repair both in electronics and electrical itself.

The business will be sponsored by individual due to sole proprietorship so as to achieve the goals concerning the business.

The owner will be **OCHIENG ERICK ODHIAMBO** who will act as the manager. I chose the business because of the following reasons:

1. Small amount of the capital is required to start and run the business.
2. The profit made is enjoyed alone.
3. Risks are also faced by the owner.
4. It is easy to operate.
5. Promotes self-motivation and self-drive to succeed in business.

1.5 TYPE OF BUSINESS

The business is a trade type and also offers services like electrical illumination shop and fridge repair.

1.6 PRODUCTS/SERVICES

The proposed business intends to provide electrical products like bulbs, switches, holders, electric showers, motors, computers, generators, fridge repair. The firm will provide such products which satisfy the customers' needs that are friendly to their pockets. The business will also enlighten people on electrical decision that are good for them and intends to solve problems caused by electricity.

Products	Description	Prise Ksh
AC Boxes	8cm by 12cm	8,000
Bulb holders	Basic -6holders	700
Capacitors	10F, 15F, 25F	3,000
Pliers	Size 10	7,000
Testers	Line and phase testers	12,000
Screw driver	Number 3	750
Spanners	Number 8, 12, 18	4,000

Hammers	Size 36	3,700
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SERVICES	DESCRIPTION
Maintenance	Fridge
Repairs	Fridge repair
Marketing	Marketing of electrical products
Security	Involves the protecting of equipment and ensuring security of employees

1.7 JUSTIFICATION OF OPPORTUNITY

The business is justified because it will create employment opportunity to the residents. Due to lack of employment of the most skilled personnel's, the business will employ them and hence promoting our youths in the country.

As the business will be employing more people, they will be learning more experience of work out of the field which will also promote socialization.

1.8 THE INDUSTRY

The business will belong to **Electrical Energy Industry** which has its branch in Kenya.

Electrical industry has employed over 10,000 people thereby helping improving living standards of the people. The industry is also facing challenge through lack of support or insufficient funds from the government. There are also tribe clashes from other parts of the country.

For one to get into this kind of business he or she must require approximately 1,200,000 which is used for both capital and labor. The problems encountered in the industry include:

- ✓ High competition -due to limited job opportunities.
- ✓ Poor laborers - there is high demand of jobs that leads to poor pay of laborers, poor working conditions and insecurity.

1.9 GOALS OF THE BUSINESS

1.9.1 Short term

The business will increase the profit after 4 to 5 years.

The business will also make public relation with its workers and customers. It will also ensure good financial management to achieve high profit that will be used to expand the business.

1.9.2 Long term

The business will work with an objective of making the following:

- Widening branches in other parts of the country.
- Buying vehicle which will help in distribution of materials to the customers.

The business will also build some premises.

1.10 ENTRY AND GROWTH STRATEGY

1.10.1 Entry strategy

The business will employ advertisements, promotional campaigns on initial stages of the business life cycle so as to make business known wide.

1.10.2 Growth strategy

The business plans to increase the stock as a means of growth if there is good infrastructure, it will lead to expansion of the business very fast. It will lead to more customers accessing the shop thereby promoting the growth of the business.

The business will also provide quality products at affordable price in some parts of the country like Nairobi; it seems that our business will have to stand a chance to win many customers.

1.10.3 Weaknesses

These are factors that affect the business internally. They include:

- Bad customer relations
- Lack of adequate transport facilities
- Unaware of customers
- High operation cost
- Operation in small scale

- Serves a limit market
- Nature of the product.

1.10.4 Opportunities

They are elements in external environment that the business may use as its advantage. They include

- Availability of real markets
- Type of the business adopted by the owner
- Cheap and readily skilled labor
- Room for expansion
- New and rapidly growing market.

1.10.5 Threats

These are external challenges that the business could face. They include:

- High taxation by the government
- Economic inflation
- Laws and policy governing the industry
- Frequent challenges in technology
- Stiff competition on the area
- High rental fee charges due to high demand for the strategic and convenient sites.
- High interest rate charged on bank loan thus reducing the profitable of the firm.

CHAPTER TWO

2.0 MARKETING PLAN

OCHIENG ELECTRICAL ILLUMINATION SHOP employ the strategy of advertising the products through television, magazines and also make an offer once a year to help promoting the business faster. The business will ensure the consumers are well served by ensuring the products are readily available and also distribute them to their specific places.

2.1 CUSTOMER ANALYSIS

The business will be dealing majorly in offering services in maintenance in fridge and selling of electricals gadgets.

The potential customers will be commercial customers, institutional customers and individual customers. Commercial customers are those who buy our products are within the town.

Individual customers are those who buy our items then they go and do installation on their own.

We also have customers who:

- Like purchasing our products in bulk
- Like goods of high quality
- Like buying on credit
- Some do their shopping in evening

NAME	POPULATION	NUMBER
Schools	30,000	20
Hospitals	15,000	10
Churches	70,000	15
Markets	10,000	8
supermarkets	40,000	4

2.2 MARKET SIZE AND SHARE

Data collected shows that other firms in the industry have already captured 20,000 customers out of 30,000 customers. This leaves 1000 customers, therefore, the percentage that the business will capture and the percentage already captured by other competitors represented in the table below.

2.3 COMPETITION ANALYSIS

In order for the business to progress, it must be able to access the environment in which it operates so as to know the environment functions.

The business has identified several competitors within the location and its environment producing similar products. Its main competitors are

- 1) Wuod Min Perez Electrical shop
- 2) Owak's Electrical shop
- 3) John's Electrical shop

The presence of the competitors will be most advantageous to the business in that the owner will learn from the strength and weakness, quality of services offered, the price and means of payment among others.

No	Name of the business	Strengths	Weakness
1	Wuod Min Perez Electrical shop	Long market experience Growing faster	Provides limited services Has no stable prices
2	Owak's Electrical shop	Easily noticeable and accessible	Offers services to high class only
3	John's Electrical shop	Has many customers	Not operating in full week

2.4 PROMOTION AND ADVERTISING STRATEGIES

A. Advertising

The business will tend to attract its customers through advertising

It will rely on the following of advertising;

- ✓ Television
- ✓ Radio
- ✓ Calendar
- ✓ Business cards.

The business will ensure there are enough advertising tools; Billboards will also be put at strategic where people will easily see them.

The business will portray a positive image by presenting advertising messages in a logical and attractive means. The business will use commercial sign post to direct and alert consumers of the existence of the new project.

B. Verification code

We ensure that our products and services are unique that they are equipped with verification code from the manufacturer to prove originity.

C. Road show Promotion

We intend to pass all the roads and speaks to customers about our business.

2.5 PRICING STRATEGY

The price of commodity depends on the seasons of the year and prevailing markets.

Cost = cost of accessories for repair + profits

My pricing will be influenced by factors like; transport cost, level of sales per month, buying price and availability of customers. The business will tend to offer credit to daily customers and not frequently to motivate them to buy more.

The peak time for the business will be when there is new building construction in the town, institutions and when one is in need of starting a small cyber, he or she will need computers and installation.

2.6 PRODUCTION STRATEGY

The business will scale to be unique in production of high-quality products of affordable prices. The management of the business will look on ways of improving its products based on customers. Good relation to customers will be engaged on product distribution and thus help business to sell more products.

2.7 SALES TACTICS

Indirect product and services offering techniques. We tend to sale our services to our loved customers around Nyanza regions. We expect to strategically sale our products to residence around the town regions.

2.8 DISTRIBUTION STRATEGY

This is to be achieved by using my private car to distribute our accessories and services to customers who come to Ochieng's Electrical Illumination Shop. Other services are like email, internet, texting and other materials since my business tend to be small scale enterprise due to transport is cheap and easily available because it is situated along Oginga Odinga street.

CHAPTER THREE

3.0 ORGANISATION AND MANAGEMENT PLAN

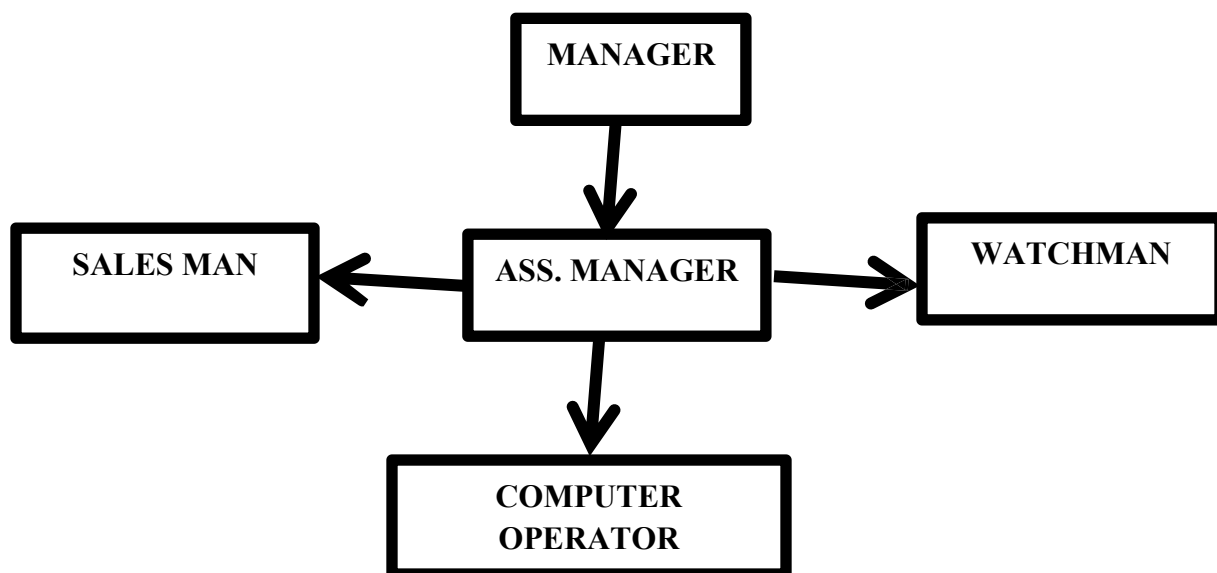
The managerial plan is established in the frame work of the business is run starting from the lower level of management to upper level of management.

The management plan is established according to duties and role made by each and every personnel so that the business may achieved great goals. The success of Oriyo's Electrical Illumination shop is determined by the organizational structure within the business.

3.1 ORGANIZATION STRUCTURE

The organization will be headed by the owner who will act as the manager. He will select his or her assistant manager who will be responsible for the business when the manager is not around.

There will be financial controller who will be balancing the accounts of the business. The casuals who will be responsible to the assistant manager will be charged with the responsibility of packaging goods. The secretary will also be responsible for the business safety.



3.2 ORGANIZATION PLAN

The manager should set the goals to be achieved by the business for to be successful. The manager should also employ labors to ensure smoothly running of the business.

The proprietor should also show the management team and their respective department, how they relate and interact with the workflow of the organization.

3.3 THE MANAGEMENT TEAM

The management team will include the following; General manager, ass. Manager and the accountant manager. The business will be operated and managed by the sole proprietor manager who owns it. Other employees will be needed to be highly skilled and trained to operate the business. The business will have cashier who operates in his or her office to receive cash and give back the balance, it will also have the store keeper who will have the skill and ability to record all the materials brought in the store.

The manager will make a target on which if the business reaches, the workers will be motivated.

3.4 OTHER PERSONEL

For the business to run, it must have the following staff members:

1. General Manager

The manager of the business will be Oriyo who is the owner of the business with a diploma holder in Electrical and certificate in computer packages. My roles will be; implementing salaries of workers, recruiting employees and supervising all activities withing the enterprise.

2. Ass. Manager

Qualifications

- Should be at least 24 years of age and working experience of 2 years. He or she should have good public relation to the customers with computer literacy and certificate in Electrical.

3. Repair men

The business will require 5 repair men workers who will have a certificate holder in Electrical and electronics technology.

3.5 RECRUITMENT AND TRAINING POLICY

3.5.1 RECRUITMENT

The proposed businesses will aim to employ the right employees who will later help and benefit the business.

The business will follow the following procedure to ensure the process is free and fair.

- Identify the vacant position.
- Advertisements will be placed in newspaper.
- Shortlisting will be done.
- Interviews will be organized.
- Selection based on interviews assessment.

Placement will be done on the basis of one's qualifications.

3.5.2 TRAINING OF EMPLOYEES

The organization will set aside 50,000/= annually for the training of the staff.

The objectives of training will be as follows:

- To enable employees to progress and reach their full potential.
- To provide employees with the skills they may need.
- To ensure that employees are equipped with skills they need to carry out their present jobs.

3.5.3 PROMOTION POLICY

The business has potential to promote the best workers. The management team will conduct appraisal in order to identify the best workers to be rewarded. It will ensure the best qualified employees accorded equal opportunities and promotions.

3.6 REMUNERATION AND INCENTIVES

3.6.1 Remuneration policy

The remuneration policy to be applied in motivating employees is to set good salary that is equivalent to work done. The employees will also be paid the salary and commission as well.

The management of the proposed business will enjoy the following advantages;

- Workers will not be absent because they will lose financially.
- Minimize the cost of supervision.
- Promote the spirit of co-operation and team work among the employees.

3.6.2 Incentives program

Recognition incentive- This business should have a policy to recognize the contributions of the employees. The business should be giving out the certificate of the of the achievement. If the business makes higher profit due to personal efforts of the employees, he or she must be recognized and this will encourage the employees to work hard in future.

3.7 LEGAL REQUIREMENTS (LICENSES, PERMIT AND BY-LAWS)

The business is required to meet all the legal requirements as a sole proprietorship. This is important to the business in order to operate without any legal problem. The business will therefore need to obtain the following:

No	DOCUMENT	AMOUNT
1	Trade license	15,000
2	Health license	9,000
3	Business registration permit	10,000
	Grand total	34,000/=

3.7.1 Trade and Health License

This accumulates a total of Ksh. 24,000/-

3.7.2 By-Laws

Reasons why business must comply with the by-laws of county council includes; it is impossible to include detailed legislation together with the main legislation and hard for legislators to anticipate future changes in the business environment so for my business to succeed with no disturbances from the government, I must just comply to the by-laws of the county council

3.8 SUPPORT SERVICES

The business will be subscribed to the following support services.

3.8.1 Banking services

Current account will be opened at **Equity Bank** where the business will be depositing and withdrawing its money.

3.8.2 Insurance Services

The business will take various insurance cover for the asset and the employees. The Kenya alliance Insurance Company Limited will guarantee security of the risk Insured.

3.8.3 Postal Services

The business will operate its postal service from Kenya postal and communication- Kisumu

3.8.4 Legal services

Kodera Electrical Sales and Services and company advocate of P. O Box 8021-40100 Kisumu will be contracted by the firm to offer the following services:

- Advice business on legal matters.
- Representing the business in court when needed.
- Dept collection and payment.

3.8.5 Telephone services

The propose business will get telephone services from Telecom Kenya to supplement mobile phone.

CHAPTER FOUR

4.0 PRODUCTION/OPERATION PLAN

The business will be getting its products from the company direct. The business will be doing bulk order.

4.1 PRODUCTION FACILITIES, EQUIPMENT AND LAYOUT OF THE BUSINESS PREMISE

4.1.1 Production Facilities and Equipment

For the business to fulfill its goals of producing goods, its priority will be to acquire or buy most equipment that are critical in a day to day running of the business.

4.1.2 Layout of The Business Premise

The proposed business is to be established in a half an acre farm which is the owners farm, opposite, there is a building which will be as well rented as the store.

The room consists of 6 rooms. The manager is to ensure the premise meets all health and safety requirements.

MANAGER'S OFFICE	ASST. MANAGER OFFICE
COMPUTER OPERATOR OFFICE	STORE
	SECURITY
SALES MAN	

4.2 PRODUCTION/OPERATION STRATEGY

The proposed business will provide goods of high quality and good services delivered by employees. This is going to be achieved through employing skilled workers.

The business will also operate in large scale as this will lead to reduce the cost of items per unit. The staff will also be trained in areas of operation to ensure that they are competent. The business intends to be flexible to customers' requirements in term of variety and delivery time.

No	Workers	Time in	Time out	Day
1	Ass. Manager	8.00 am	6.00pm	Monday – Saturday
2	Sales man	8.00 am	6.00pm	Monday – Saturday
3	Computer operator	8.00 am	6.00pm	Monday – Saturday
4.	Security officer	8.00 am	6.00pm	Monday- Saturday

The manager will be responsible for the marketing and selling the products estimate the demand for the products offered by the business and identify the potential market for the business, create pricing strategy to help the firm maximize profits and Increase market share.

4.3 PRODUCTION PROCESS

The proposed business will be getting its product directly from the company. It will then open other small kiosk in other communities and make other branches to help promoting the business.

For the business to cope with external factors; it will put in place the following measures.

- Advertising and promote products
- Sell goods of high quality
- Deliver goods to customers who buy in bulk
- Open other branches in the communities
- Factors that affect the business

- High competition to the business
- Economic depression
- Government policy

4.4 REGULATIONS AFFECTING OPERATION

The business is expected to meet all the required legal and statutory requirements as a sole proprietorship.

CHAPTER FIVE

5.0 FINANCIAL PLAN

5.1 PRE-OPERATIONAL COST

The expenses incurred before commencement of business include the following:

PARTICULAR	AMOUNT
Rent	15,000
Business Registration	10,000
Installation of electricity	50,000
Legal fee	15,000
Advertising and promotion	20,000
License and permit	34,000
Telephone deposit	1,000
GRAND TOTAL (KSH.)	145,000

5.2 WORKING CAPITAL

This is the capital the business will require to run the business on daily basis.

Working Capital = Total Current Assets – Total Current Liabilities

ITEM	YEAR 1
Current Assets (KSH.)	
Stock	50,000
Debtors	90,000
Cash in bank	300,000
Cash in hand	120,000
TOTAL CURRENT ASSETS	KSH 560,000
Current Liabilities (KSH.)	
Creditors	100,000
Short term loans	150,000
TOTAL CURRENT LIABILITIES	KSH. 250,000
TOTAL WORKING CAPITAL (KSH.)	KSH. 310,000

5.3 PROJECTED CASH FLOW STATEMENT

PROJECTED CASH FLOW AS FROM JANUARY – DECEMBER

ITEMS	JAN-MAR	APRIL-JUNE	JULY-SEPT	OCT-DEC
Cash inflow (Ksh.)				

Cash Balance	85,000	450,000	120,000	960,000
Cash from Survey	650,000	630,000	460,000	780,000
TOTAL CASH INFLOW (KSH.)	735,000	1,080,000	580,000	1,740,000
Cash Outflow (Ksh.)				
Purchases	300,000	300,000	300,000	200,000
Salaries	410,000	500,000	600,000	400,000
Rent	250,000	100,000	200,000	350,000
Water	7,000	6,000	9,000	5,000
Electricity	9,000	7,500	5,000	8,000
TOTAL CASH OUTFLOW (KSH.)	976,000	913,500	1,114,000	963,000
NET CASH FLOW = TOTAL CASH INFLOW – TOTAL CASH OUT FLOW				
TOTAL NET CASH FLOW	-241,000	166,500	-534,000	777,000

5.4 PROFORMA INCOME STATEMENT

The aim of the business is to make profit. This is done through the preparation of the trading profits and loss accounts.

PROFORMA INCOME STATEMENT AS FROM JANUARY – DECEMBER

ITEM	AMOUNT		
Sales	8,000,000	9,000,000	3,000,000
Cost of services	5,000,000	7,500,000	1,000,000

Gross profit	2,500,000	6,000,000	2,000,000
EXPENSES	AMOUNT		
Salaries	1,000,000	2,500,000	3,500,000
Rent	800,000	500,000	100,000
Electricity	20,000	20,500	15,000
Water	40,000	15,000	10,000
Advertisement	100,000	150,000	150,000
Stationery	60,000	200,000	20,000
License	250,000	20,000	20,000
Maintenance	150,000	35,000	10,000
Telephone	50,000	40,000	20,000
Insurance	40,000	45,000	30,000
TOTAL EXPENSES (KSH.)	2,450,000	3,525,500	3,875,000
NET PROFIT BEFORE TAX	4,950,000	9,525,500	5,875,000
TAXATION 16%	792,000	1,524,080	940,000
NET PROFIT AFTER TAX	5,742,000	11,050,580	6,815,000

5.5 PROFORMA BALANCE SHEET

Elite Surveying and Consulting

Proforma balance sheet as from 1st 2023

ITEM	YEAR 1
ASSETS	
FIXED ASSETS	
Survey equipment	300,000

Furniture	200,000
Vehicles	150,000
TOTAL FIXED ASSETS (KSH.)	650,000
CURRENT ASSETS	
Stock	80,000
Debtors	30,000
Cash at bank	100,000
Cash in hand	750,000
TOTAL CURRENT ASSETS (KSH.)	860,000
TOTAL ASSETS (KSH.)	1,510,000
LIABILITIES	
CURRENT LIABILITIES	
Creditors	75,000
Short term loan	350,000
TOTAL CURRENT LIABILITIES (KSH.)	425,000
LONG TERM LIABILITIES	
Long Term Loan	2,000,000
TOTAL LONG LIABILITIES (KSH.)	2,000,000
TOTAL LIABILITIES (KSH.)	2,425,000

NET PROFIT (KSH.)	4,950,000
TOTAL (NET PROFIT – LIABILITIES)	2,525,000

5.6 BREAK-EVEN POINT

Determination of fixed cost

FIXED COST	AMOUNT PER YEAR
Salaries	250,000
Rent	20,000
License	30,000
Insurance	160,000

TOTAL FIXED COSTS (KSH.)	460,000
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Determination of variable cost

VARIABLE COSTS	AMOUNT PER YEAR
Electricity	110,000
Water	6,000
Advertising	90,000
Stationery	40,000
Maintenance	150,000
Telephone	20,000
TOTAL VARIABLE COSTS (KSH.)	416,000

CALCULATION OF THE BREAK-EVEN POINT

Break even = fixed cost / contribution margin

Contribution margin = contribution / sales

Contribution = sales – variable cost

1st YEAR

Contribution = 8,000,000 - 416,000

= KSH. 7,584,000

Contribution Margin

=7,584,000 ÷ 8,000,000 = 0.948

Break-even point = 460,000 ÷ 0.948

= KSH. 485,232.06

5.7 CALCULATION OF PROFITABILITY RATIO

Gross profit percentage (%G. P) = (Gross Profit ÷ Sales) X 100 %

$$(2,500,000,000 \div 8,000,000) \times 100\%$$

$$= 31.25\%$$

5.8 RETURN ON INVESTMENT

R.O.I = (Net profit ÷ Total Fixed Assets) X 100%

$$(4,950,000 \div 650,000) \times 100$$

$$\text{KSH. 761.54}$$

APPENDIX 1

CRITICAL RISKS

The risk expected to be encountered during the operation of the business include the following.

- High taxation by the government
- Economic inflation
- Laws and policy governing the industry
- Frequent challenges in technology
- High rental fee charges due to high demand for the strategic and convenient sites.
- High interest rate charged on bank loan thus reducing the profitable of the firm.

MITIGATIONS TO BE USED

- Insurance cover
- Prudence management
- Maintenance enough working capital
- Develop risk management.

APPENDIX 2

REFERENCE

- i. Kuratko, Donald H and Richard M. Hodgetts, R (2014). ***Entrepreneurship: A Contemporary Approach***. South West Division of Thomson Learning.
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